

BUSINESS REFLECTION QUESTIONS

Q1. Which factors appear to influence subscription renewal the most?

Ans. The factors that likely influence subscription renewal are-subscription type (Basic, Premium, VIP),watch hours per week, devices used ,favorite genre ,etc.The more content a user browses, the more they tend to spend money and actively use the platform continuously over longer duration. This leads to renewed subscriptions and thus greater revenue generation for Netflix as a brand.

Q2. Why is subscription renewal a classification problem?

Ans. Classification problems have predefined categories for which a model learns and predicts the result in accordance.The prediction is a category in case of subscription renewal (yes or no).Thus model predicts which category a user belongs to rather than predicting a numerical value and thus a classification problem.

Q3. Why is monthly spending a regression problem?

Ans. The regression problem gives prediction as a continuous numerical value . In monthly spending the target variable is numerical value(like ₹350, etc). Thus regression is used in monthly spending as numeric value is predicted rather than a category.

Q4. Which algorithm performed better for renewal prediction?

Ans. Renewal prediction was done using a decision tree and KNN model. When we look into the accuracy metric of the respective models and find that decision tree accuracy was 0.56 whereas for KNN model it was 0.63. Therefore we can infer that KNN model performed better with higher accuracy for predicting subscription renewal and thus preferred.

Q5. How could Netflix use these predictions to improve customer retention?

Netflix can use predictions like -identifying users who are likely to cancel their subscriptions,offering personalized discounts ,promotions,and recommending content based on viewing preferences.They can also send targeted notifications and reminders for new content addition, new seasons release,most popular or trending , etc.Further they can improve customer engagement and satisfaction with swift response to queries.These actions can help increase subscription renewals.